
Condo Clear Services | Strata Tip of the Week

1 message

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20 November 2024 at 11:38

Hi Andrew,

QUICK REMINDER: If you missed our [email last week](#), here's a reminder that we'll be holding our **FREE Strata Documents Reference Guide webinar tomorrow, Thursday, November 21, 2024 from 11am-12pm**. You can register for the webinar through the following link: [CLICK HERE TO REGISTER](#)

Strata Tip of the Week - What to Look Out for When It Comes to Special Levies

When purchasing a strata-titled property, it's essential to consider **potential costs beyond the purchase price**. These additional expenses can *significantly impact the affordability of the property for buyers*.

One key consideration is **special levies**, which can sometimes arise unexpectedly and lead to substantial financial obligations for strata owners. Here's what you need to know:

1. What Are Special Levies?

Special levies are **additional payments** imposed on strata lot owners to cover expenses that are not funded by the strata corporation's:

- **Annual operating budget**, or
- **Contingency reserve fund (CRF)**

These levies are typically used to pay for significant repairs, upgrades, or unforeseen expenses that the strata corporation needs to address.

When reviewing strata documents, it's crucial to look for any indication of approved or potential special levies that could affect the buyer's financial responsibilities.

2. Identifying Past, Present or Future Special Levies

A. Approved Special Levies Not Yet Collected

- Check whether any special levies have already been approved, but remain unpaid by the current owners.
- Ensure the contract of purchase and sale clearly states that the sellers are responsible for paying any approved but unpaid special levies before the completion date. This protects the buyer from unexpected financial obligations.

B. Upcoming Special Levy Resolutions

- Review whether the strata has issued notice of a general meeting to vote on a special levy resolution that has not yet been decided.
- Clarify in the contract of purchase and sale who will be responsible for paying the special levy, if it is approved. The contract should also specify what happens if the resolution is defeated.

C. Potential Future Special Levies

- Investigate whether the strata has expressed plans to propose a special levy resolution at a future general meeting, even if formal notice hasn't been issued yet.
- Discuss these potential future levies with your clients to ensure they understand the financial implications. Buyers can also consider negotiating with the sellers to adjust the purchase price to account for the likelihood of these additional costs.

3. Why This Matters

By proactively identifying approved or potential special levies, you can help your clients:

- Make well-informed purchase decisions.
- Negotiate better terms with sellers to account for additional costs.
- Avoid unexpected financial obligations after purchasing the property.

Understanding **special levies** is just one piece of the puzzle when reviewing strata documents, but it's a critical step in protecting your clients' interests.

That's it for this week. If you have any suggestions for other topics you'd like us to cover, please let us know at info@condoclear.ca.

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A little about us:

1. We are a fully licensed brokerage under the [BCFSA](#), and carry [Errors and Omissions \(E&O\)](#) insurance.

2. We've been in business since 2017 and have completed over 3,000 strata reviews to date province wide.
3. Our [Review Advisors](#) have firsthand knowledge and experience. They've all been practicing strata managers.

A little about our services:

FAQs: [How do Condo Clear's services work?](#)

Pricing: [How much do Condo Clear's services cost?](#)

Here is a [Sample Buyer's Review](#) that you can look through. If you have some time, we would love to setup a quick chat, to talk more about our review process and go over any specific needs you might have.

Want to schedule a *FREE* webinar for your team? [Contact us today!](#)

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We're thrilled to announce the launch of **Clarity Management Group**, our **NEW strata management company** serving communities across British Columbia. At **Clarity**, we're redefining strata management with a proactive, transparent approach that supports strata corporations in making informed, timely decisions. **Contact us today for details!**

